

Business Analytics Session 1

Business Analytics

- Transforming raw data into actionable insights
- Analyze business performance
 - ↳ product performance
- we want to drive business decision using data to better plan for the future
- Drive Business Growth / business profitable
- Giving solution to business problems

① Understand the business (first step)

Domain Expertise

Business model (how do they generate money)

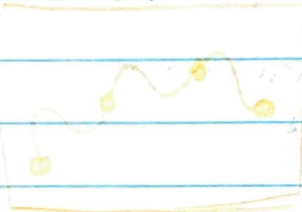
↳ understand how the business makes money

② Identify the problem (2nd step)

- Driven by data.

- data engineer
Data Analyst

Consumers



What consumers are saying?

Producers

- investment

- Business model
(Static)

- what is required to run business

(2nd step)

→ How do we measure Success KPI

Launch Product

- Bring in new customers
- Sell more
- Diversity
- increase Revenue
- increase profit
- Reduce cost

Quantitative KPI's

Positive Reviews

Remain competitive

Qualitative KPI's

Market Share

Brand ^{visits} Visibility _{more social medias}

Solve a problem

Customer loyalty

Attract More Investment

Tenure (how long have you been with us)
Repeat Customers

Stock price

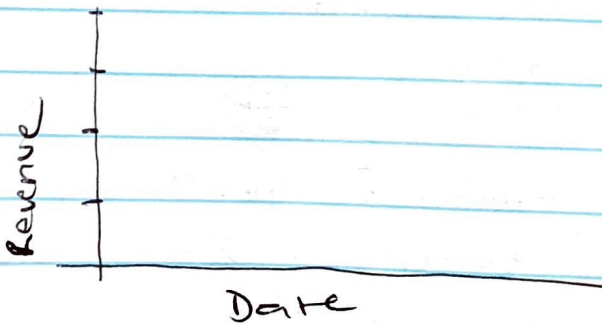
Sentiment Analysis

Quantitative KPI

$$\text{Revenue} = \text{Price} \times \text{Quantity}$$

$$R = P \times Q$$

Product



NB: the goal of a business analysis is to reduce cost

Cost - variable cost
fixed cost

total cost

= variable cost / fixed cost

↳ linked to the product we sell in the business

These are some of the KPI's we need to measure

Number of transactions $\rightarrow 5 \uparrow$

Number of units sold $\rightarrow 1000 \uparrow$

Number of customers $\rightarrow 10 \uparrow$

$$\text{Profit} = \text{Revenue} \uparrow - \text{Cost} \downarrow$$

$$P = R - C$$

Campaign

Business Analytics inform what kind of campaign should we do

- Awareness/visibility
- Attract customers
- Customer acquisition
- Introduce a new product
- Reduce stock holding

Stimulate our customers

- to act in the direction of purchasing our product

- Business Analytics should also inform how we measure the success of the campaign

(Post implementation Reviews
Post Campaign Analysis

A/B testing

PIR

Business Analytics

KPI's target control